The following balances were taken from the accounting records of D- MAX Limited, S-MAX Limited and A-MAX Limited at 30 June 20.5:

	D- MAX Limited Dr/(Cr) R	S-MAX Limited Dr/(Cr) R	A-MAX Limited Dr/(Cr) R
Profit for the period	(450 000)	(900 000)	(720 000)
Inventories	900 000	460 000	700 000
Trade receivables	724 857	697 714	603 571
Cash and cash equivalents	1 033 000	—	412 000
Investment in S-MAX Limited — 60 000 $2 ordinary shares at fair value	1 800 000	—	—
Investment in A-MAX Limited — 40 000 $1 ordinary shares at fair value	—	1 600 000	—
Land	1 419 000	2 400 000	1 000 000
Plant at cost	1 228 000	1 420 000	618 000
Provisional tax payments	412 000	196 000	158 000
Non-distributable reserve — 1 July 20.4	(400 000)	(200 000)	(200 000)
Retained earnings — 1 July 20.4	(6 000 000)	(4 805 000)	(2 113 000)
Deferred tax	(48 000)	(62 000)	(24 000)
Provision for tax	(192 857)	(385 714)	(308 571)
Share capital — $1 ordinary shares	(100 000)	—	(50 000)
Share capital — $2 ordinary shares	—	(150 000)	—
Accumulated depreciation — plant	(221 040)	(170 400)	(37 080)
Trade and other payables	(104 960)	(80 600)	(38 920)
Short-term borrowings (bank overdraft)	—	(20 000)	—
	—	—	—

Additional information

1. On 1 July 20.2 D- MAX Limited purchased 60 000 ordinary shares in S-MAX Limited for R1 800 000. On the same day S-MAX Limited purchased 40 000 ordinary shares in A-MAX Limited and paid R1 600 000 for the investment.
2. On 1 July 20.2 the following information was applicable:

	S-MAX Limited $	A-MAX Limited $
Ordinary share capital	150 000	50 000
Non-distributable reserve	175 000	—
Retained earnings	1 500 000	1 200 000

3. On 1 July 20.2 S-MAX Limited valued A-MAX Limited's land at $1 600 000. The value was not changed in the books of A-MAX Limited. The fair values of the remaining assets, liabilities and contingent liabilities of S-MAX Limited and A-MAX Limited on 1 July 20.2 were considered to be equal to the carrying amounts of these items.
4. On 30 June 20.5 A-MAX Limited had inventories on hand purchased from D- MAX Limited for $300 000. D- MAX Limited makes a profit of 50% on the cost price of inventories sold to A-MAX Limited.

A-MAX Limited sold inventories to S-MAX Limited at cost price plus $33^1/_3$%. On 30 June 20.5 S-MAX Limited still had inventories to the value of $100 000 on hand which was purchased from A-MAX Limited.

5. Included in the trade receivables of D- MAX Limited is a loan to A-MAX Limited to the amount of $15 000. The loan is included in the trade payables balance of A-MAX Limited.
6. The following transfers to non-distributable reserve must still be made at 30 June 20.5 by the companies:

	$
D- MAX Limited	110 000
S-MAX Limited	180 000
A-MAX Limited	175 000

7. Assume a tax rate of 30%.
8. The goodwill that arose on the acquisition of S-MAX Limited was considered to be impaired by $200 000 at year end.
9. The fair value of available-for-sale financial assets is equal to the cost price thereof.
10. Each share carries one vote.

REQUIRED

a) Prepare the consolidated annual financial statements of Left Limited and its subsidiaries for the year ended 30 June 20.5. [25]

b) Prepare journals [15]

No notes are required.
Ignore comparative figures.